MIDLANDS STATE UNIVERSITY

FACULTY OF BUSINESS SCIENCES

DEPARTMENT OF ACCOUNTING SCIENCES

BARCHELOR OF COMMERCE HONOURS DEGREE IN ACCOUNTING

PUBLIC SECTOR ACCOUNTING AND FINANCE A

CODE: ACC 405/435

SPECIAL EXAMINATIONS: FEBRUARY 2023
DURATION: 3 HOURS

INSTRUCTIONS

1. *This examination question paper contains 6 questions.*
2. *Answer any **Four (4)** questions*
3. *Each question carries 25 marks*

QUESTION 1 (25 MARKS)

a) The publication of financial information must be a key mechanism by which governments and public sector bodies can demonstrate their accountability to taxpayers and other stakeholders, and report on the effective delivery of services and other government activity. Over time, different practices have evolved to meet the requirements of different national economic, financial, regulatory and legal systems. While national variations in accounting practices have endured for many years, more recently there has been pressure to harmonise financial reporting practice and regulation on a global basis in order to reduce inconsistencies.

Required

a) Explain the rationale behind the decision to develop a harmonised set of reporting standards for general purpose financial statements through the accrual based International Public sector Accounting Standards (IPSASs) for the public sector. **(10 marks)**

b) Discuss the challenges that ae being faced by different countries in the full implementation of the IPSASs. **(15 marks)**

QUESTION 2 (25 MARKS)

Public Financial Management (PFM) is often seen as a cross-cutting governance reform. The notion is that PFM improvements can lead to service delivery, anti-corruption, public investment and equality improvements.

Required

Discuss how government sector digital transformation can be leveraged to facilitate sustainable public financial management **(25 marks)**

QUESTION 3 (25 MARKS)

A number of factors have been identified as inevitably leading to growth in sovereign government debt. Some of these factors are general, and apply to all countries, while others are specific to some developing countries.

Required

a) Describe the major drivers of public debt in Zimbabwe **(10 marks)**

b) Discuss the strategies that the country could adopt for the rationalisation and sustainable management of national public debt **(15 marks)**

QUESTION 4 (25 MARKS)

Implementing and attaining effective public financial management demands systems and structures that are infused with transparency and accountability measures to achieve strategic outcomes. Experience shows that countries, although to varying degrees, grapple with the mechanics of good governance, resource management, including effective revenue generation and efficient allocation of public funds.

Required

Discuss the strategies that can be used for the achievement of effective public finance and accounting in Zimbabwe **(25 marks)**

QUESTION 5 (25 MARKS)

Deficit budget balances are a common feature in developing countries. It is argued in some circles that, a "culture of entitlement" that has been created by developing countries governments, where the general populace or certain sections of the populace feel that the government should be providing services for them at no cost or subsidised rates, is what leads to the unsustainable and unproductive levels of public expenditure. Theory has suggested that contracting out of public services , privatisation of public sector entities and commercialisation of the public sector could curb the unsustainable growth of public expenditure.

Required

a) With the aid of examples, explain what contracting out of public sector services, privatisation and commercialisation of public sector entities entail **(9 marks)**

b) To what extent can the three concepts be applied in Zimbabwe. **(16 marks)**

QUESTION 6 (25 Marks)

In the modern day, performance measurement and improving efficiency and effectiveness talk has dominated most debates in all spheres of our life. "Governments, like companies, need timely and accurate financial and non-financial information to monitor and manage their performance.

Required;

a) With the aid of examples, describe the **five (5)** major ways through which performance measurement is done in the public sector **(10 marks)**

b) Identify any **five (5)** tools and/or mechanisms that are normally used in the private sector for performance measurement and discharge of accountability and discuss how they can be adapted and modified for use in public sector. **(15 marks)**

TOTAL MARKS: 100 MARKS

END OF PAPER